

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-13

AMERICAN IRON & METAL COMPANY INC.

COMPLAINANT,

v.

PRIVA LOGISTICS INC.

RESPONDENT.

COMPLAINANT'S BRIEF

FLASTER/GREENBERG P.C.

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INTRODUCTION

This matter involves Priva Logistics, Inc.'s ("Priva" or "Respondent") intentional act of holding American Iron & Metal Company Inc.'s ("AIM") cargo hostage to extort payment of disputed charges tied to unrelated shipments in violation of the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101, *et seq.* (the "Shipping Act"). Priva claims it placed a "commercial hold" on AIM's shipments. In reality, Priva intentionally held AIM's cargo hostage significantly delaying one shipment destined for Italy—despite AIM having paid the freight for that shipment—and demanding that AIM first satisfy a disputed, \$70,000 "misdeclaration" invoice from CMA CGM (America), LLC ("CMA") relating solely to one Malaysia booking as well as additional contrived "administrative" sums. Priva's owner admitted the holds were to make AIM "pay up," and that the dispute had nothing to do with the rates or transportation charges for the shipments it refused to release.

At various times, Priva demanded a \$250,000.00 "security deposit," a \$30,000.00 "NVOCC Penalty & Handling Fees," and later tacked on a \$35.00 per container per day charge and 1.5% monthly interest. None of these charges are found in any contract, tariff, or fee schedule, and they are all calculated by rough guesswork and Priva's arbitrary, unilateral decision as to what it deems reasonable. During discovery, Priva made it clear that the administrative charges it seeks to collect include time spent on this litigation and participating in discovery.

As a licensed NVOCC, Priva engaged in an unjust and unreasonable practice in violation of the Shipping Act. It did so by intentionally holding unrelated cargo to extract payment for disputed amounts on different shipments and by imposing undisclosed, arbitrary charges. Indeed, Priva's owner was clear that Priva has a longstanding policy of withholding releases across a

customer's account whenever any balance is more than thirty days outstanding, regardless of which shipment has or has not been paid. Here, Priva's refusal to release the Italy Shipment caused detention and demurrage of \$22,104, which AIM had to satisfy to retrieve the cargo.

AIM seeks reparations for the demurrage and detention it paid as a proximate result of Priva's unlawful holds, together with appropriate compound interest and attorneys' fees. AIM also seeks a cease-and-desist order barring Priva from continuing its unlawful practice of withholding unrelated cargo and assessing unsupported charges. The record establishes Priva's wrongful holding of cargo as commercial leverage, the absence of any contractual or tariff basis for its add-on fees, and direct causation of AIM's losses. Accordingly, AIM respectfully requests an award of reparations, payment of additional amounts up to twice the amount of AIM's injury and attorneys' fees.

STIPULATED FACTS

Pursuant to the Parties' Joint Prehearing Statement (Dkt No. 16), the Parties stipulated to the following facts:

1. Claimant, AIM, is a Canadian corporation engaged in the recycling and processing of scrap metal. AIM is headquartered in Montreal, Quebec, with its principal place of business located at 9100 Henri-Bourassa Est, Montreal, QC H1E 2S4, Canada.
2. Respondent and Counter Complainant, Priva is a corporation organized under the laws of the State of New York and is licensed to operate as a non-vessel-operating common carrier, FMC License Number 025540, with its principal place of business at 183 South Broadway Street, Suite 212, in Hicksville, New York, 11801.
3. This matter involves the following Booking Numbers:

- a. NAM6677014, from Los Angeles, California, to Port Klang West, Malaysia.
 - b. NAM6677015, from Los Angeles, California, to Port Klang West, Malaysia
(collectively with Booking No. NAM6677014, the “Malaysia Shipments”).
 - c. NAM7478044, from Long Beach, California to Ancona, Italy.
 - d. 28435995, from Los Angeles, California to Mundra, India.
4. AIM engaged Priva to make transportation arrangements with respect to each of the
aforementioned bookings.

PROPOSED FINDINGS OF FACT

1. On or about January 26, 2024, AIM entered into a sales contract with GSM Supply Sdn. Bhd. (“GSM”). (CX 1.)
2. The GSM sales contract (Contract No. 2401-4697) was between GSM and AIM, at AIM’s address located in Montreal. (CX 1.)
3. The GSM sales contract described the material as “Zorba 98/3”, with a specification of “98% metallic and 3% reds” and the bill of lading description as “Aluminium Alloys”¹ with an HS Code of 7601.20.0000. (CX 1; CX 528, Hudson Declaration, ¶8-10.)
4. On that same date, AIM entered into a sales contract with Rising Streams Sdn. Bhd. (“Rising Streams”). (CX 2.)
5. The Rising Streams contract (Contract No. 2401-4697) was between Rising Streams and American Iron & Metal Company, Inc., at AIM’s address located in Montreal. (CX 2.)

¹ Aluminium is the same as aluminum. The former appears to be a spelling utilized in other countries while the latter is used in the United States and Canada.

6. The Rising Streams contract described the material sold as “Zorba” with a specification of “98% metallic and 3% reds” and the bill of lading description as “Aluminium Alloys” with an HS Code of 7410.22.0000. (CX 2; CX 528, Hudson Declaration, ¶8-10.)

7. Zorba is shredded aluminum material. (CX 441, Hudson Dep. 56:12-14, 57:11-13; Hudson Declaration, ¶8-10.)

8. In the metal industry, the material is referred to as shredded aluminum scrap and in the recycling industry it is referred to as Zorba. (CX 441, Hudson Dep. 57:3-10.)

9. AIM’s belief and understanding is that the Zorba does not have a commodity code, and the primary difference between Zorba and aluminum alloy is that Zorba is shredded. Zorba is a trade name for shredded aluminum alloy. (CX 441, Hudson Dep. 57:11-13, 58:16-59:6, 144:10-20.)

10. None of the sales contracts involved American Iron & Metal USA, Inc., which is a separate company that is incorporated under the laws of the State of Delaware. (CX 254, Certificate of Good Standing for American Iron & Metal USA, Inc.; CX 255, Certificate of Compliance for American Iron & Metal Company, Inc.)

11. On January 26, 2024, AIM engaged Priva to make transportation arrangements for materials AIM had sold from Los Angeles, California to Port Klang, Malaysia. (CX 5-6.)

12. Booking No. NAM6677014 involved the following containers:

TCNU8723172
TLLU4958565
TLLU7703589
CAIU9547562
TCLU5076331

TCKU6276933
TCLU6545752
TXGU7135808
TCLU6575850
GESU6936352

(CX 35–36.)

13. Booking No. NAM6677015 involved the following containers:

CAIU9361290
CMAU4582250
TRHU4708682
CMAU7608208
TLLU7691615
FCIU9356055
SEGU6310888
TCLU1547201
SEGU4623630
SEGU5022634

(CX 31-32.)

14. On January 29, 2024, Priva provided AIM with the booking confirmations for the Malaysia Shipments. (CX 4; CX 7-12.)

15. The booking confirmations contain the information Priva provides to CMA regarding the shipment such as weight, commodity description, and origin/destination of the cargo, which CMA used to generate the freight rate associated with the ocean transportation of the Malaysia Shipments. (CX 347, Priyanka Dutta Deposition, 149:4-150:6, 150:18-152:9.)

16. For both Malaysia Shipments, the booking confirmation described the commodity as follows:

HS Commodity: Waste and scrap, of aluminium Container Grade: Scrap

BOC Commodity: Waste and scrap, of aluminium (excl. slags, scale

(CX 7; CX 10.)

17. As Priva conceded, these descriptions were disclosed to CMA at the time of booking:

Q. And then if we look at the HS commodity for the booking confirmation, it says Waste and scrap, of aluminum?

A. Right.

Q. And then the BOC Commodity, Waste and scrap, of aluminum?

A. Okay.

Q. Right? So this was information that was provided to CMA, and then CMA generated the booking confirmation identifying the commodity?

A. Yes.

Q. Okay. And so I mean that was disclosed to CMA at the time of booking, that there would be aluminum waste, aluminum scrap?

A. Yeah, I guess so. Because metal scrap falls under one contract.

Q. And that's used to determine the rate for transportation?

A. Yes, exempt contract, correct.

...

Q. Same information [for the Second Malaysia Shipment] -
- same response, if I go through the same list of questions.
You have the waste and scrap of aluminum here that was
disclosed to CMA?

A. Okay, yes, exempt.

Q. Okay. And likewise used for the rate,
correct?

A. Correct.

(CX 347, Priyanka Dep., 150:18-152:9.)

18. On February 13, 2024, AIM emailed the consignee draft bill of lading instructions, and it asked the consignee to reconfirm if the HS code should be “7602.00/7601.20, or 7410”, clarifying that “Aluminum should be 7602 or 7601” as “7410 is for Copper, not Aluminum.” (CX 13.)

19. In response, the consignee instructed AIM to change the description to “7601.2 Aluminium Alloy.” (CX 13.)

20. In turn, AIM instructed Priva to change the commodity code from 7401.22.0000 to 7601.20. However, the description of the commodity only changed from “Aluminium Alloys” to “Aluminium Alloy.” (CX 16-20.)

21. On or about February 23, 2024, CMA issued bills of lading for the Malaysia Shipments, which contained the description of the cargo as “Aluminium Alloys” or “Aluminium Alloy” and both using a commodity code of 7602.20. (CX 31-38.)

22. Over one year later, CMA issued a misdeclaration invoice on February 24, 2025, in the amount of \$70,000.00 for Booking No. NAM6677014 for an alleged “Misdeclaration.” (CX 54.)

23. Even though both Malaysia Shipments contained the same commodity description and code, CMA never issued a misdeclaration invoice for the other Malaysia Shipment, Booking No. NAM6677015. (CX 347, Dutta Dep. 62:3-9.)
24. The invoice provided that “[t]o the best of our knowledge, you serve as the ultimate recipient of the cargo, which is the reasons you’re receiving this invoice.” (CX 54.)
25. This is directly contrary to the bills of lading, which clearly describe Priva as the shipper or exporter c/o American Iron & Metal Company Inc. and GSM or Neptune Trading as the consignee and notify parties. (CX 31, CX 35.)
26. Despite this clear inconsistency, it appears Priva never challenged the invoice on this basis or sought to correct the invoice on this basis. (CX 347, Dutta Dep. 71:11-77:6.)
27. Nearly a month later, Priva invoiced the misdeclaration charge to AIM along with a \$30,000 “Misdeclaration Penalty” with the description “NVOCC Penalty & Handling Fees for Misdeclaration.” (CX 55.)
28. Both Priva and AIM disputed the misdeclaration charge with CMA. (CX 59-66; CX 128-136.)
29. In follow up conversations, CMA Malaysia indicated that Malaysian customs had held Booking No. NAM6677014 because the consignee’s bill of lading contained a different description, adding “Aluminium Scrap” to the description of goods in addition to “Aluminium Alloy” description. (CX 56-58.)
30. AIM subsequently followed up with CMA asking for a clarification as to who provided the altered bill of lading - whether it was issued by CMA Malaysia, or if CMA was alleging that the consignee altered the copy. CMA never provided this information. (CX 122.)

31. AIM requested that CMA bill the consignee if CMA's position is that the consignee improperly altered the bill of lading at destination, but if CMA/CMA Malaysia mistakenly issued two bills of lading, the charge should be removed. (CX 130-131.)
32. AIM also asked CMA whether AIM's payment of the invoice under protest would result in the containers being released or if there were further requirements to resolve the matter. (CX 132.)
33. To date, CMA and CMA Malaysia never confirmed to AIM how there were two different bills of lading, addressed payment of the charge or whether payment would facilitate release. (CX 528, Hudson Declaration, ¶ 15.)
34. Likewise, Priva does not know how the consignee ended up with a bill of lading containing different descriptions than the origin bill of lading. (CX 347, Dutta Dep. 84:3-85:19.)
35. Prior to the Malaysia Shipments, AIM had never had issues shipping aluminum products to Malaysia. (CX 441, Hudson Dep. 56:3-11.)
36. On April 7, 2025, Priva issued a Security Deposit Demand Agreement requesting that AIM make a \$250,000 payment for any charges related to the Malaysia Shipments and requiring AIM to accept all potential liability for the Malaysia Shipments. (CX 138-139.)
37. On April 11, 2025, the receiver of the Malaysia Shipments informed AIM, CMA and Priva, that they "want to deal with [the container issue] ASAP, but unfortunately, I haven't received information from Malaysia customs, we have to wait." (CX 334.)
38. As recently as February 25, 2026, AIM informed CMA and CMA Malaysia that the consignee is "actively working on these containers and are **not abandoning them**" and "CMA POD @mys.service@cma-cgm.com continue contacting GSM/Qixin directly to resolve this

matter.” (CX 328; see also CX 332, advising on February 25, 2026, that the consignee is currently in negotiations with customs.)

39. According to the consignee, the “[p]roblem is that they don’t have any progress [The s]ituation is the same with many other Zorba containers that [are] stuck at Klang port. [The] Malaysia government is not taking any measures to solve the problem, no releasing, no auction, and no rejection.” (CX 325.)

40. Separately, AIM engaged Priva to make transportation arrangements for two separate shipments, one bound for Italy under Booking No. NAM7478044 (the “Italy Shipment”) and one bound for India under Booking No. 28435995 (the “India Shipment”). (CX 347, Dutta Dep. 103:8-104:13.)

41. Booking No. NAM7478044 involved the following containers:

APHU6970786
BMOU4238030
SEGU4946037
TCLU1850080
TEMU6320687

(CX 201-202; CX 528, Hudson Declaration, ¶ 6.)

42. Priva made the necessary arrangements, but when AIM requested release of the Italy Shipment, Priva responded that AIM’s account was on “administrative hold due to unresolved financial matters related to previous shipments, including declared penalties, abandonment liabilities, and required security deposits,” and refused to release the shipments until AIM complied with the Security Deposit Demand Agreement. (CX 162; See generally, CX 174-192.)

43. AIM clarified that it had paid the freight, even providing proof of payment, and repeatedly asked for the shipment's release, but Priva refused to release it. (CX 174-192.)

44. As Priva subsequently admitted in this matter, AIM made all necessary payments related to the Italy and India Shipments, but Priva still refused to release those shipments until AIM made payment for charges related to the Malaysia Shipment. (CX 347, Dutta Dep. 104:14-105:15; CX 269-270, Priva response to Request for Admission No. 1.)

45. According to Priva, it refused to release the cargo based on CMA's \$70,000 misdeclaration charge and disputes related to the Malaysia Shipments. As Priva put it, AIM "needed to pay up." (CX 347, Dutta dep. 107:19-108:4.)

46. Priva was clear that its issues with the Malaysia Shipment are not related to the rates or transportation charges and are solely related to the misdeclaration charge and alleged abandonment:

Q. . . .With the Malaysia shipments, this is a dispute over a misdeclaration charge, this isn't the rate dispute that you had just referenced, correct?

A. This is totally misdeclaration and abandonment, yes.

Q. So this isn't a question of whether or not AIM paid the wrong rate, high or low, for the transportation of the Malaysia containers, it's a question of who is responsible for that misdeclaration charge that you're asserting in this lawsuit, you being Priva, correct?

A. So yeah, this is -- they cleared the freight to us, it's not the freight. It is their, you know, unresolved liabilities from misdeclaration and abandonment. Yes.

(CX 347, Dutta Dep. 51:19-52:13.)

47. At the time AIM booked the shipments with Priva, Priva did not disclose that it would refuse to release those shipments based on disputes related to the Malaysia Shipments. (CX 273, Priva response to Request for Admission No. 12.)
48. According to Priva, it will hold all shipments if any balance is owed beyond thirty (30) days even if the shipments are unrelated. (CX 347, Dutta Dep. 108:20-109:20.)
49. On April 14, 2025, prior counsel for AIM contacted Priva concerning its improper commercial hold, but Priva maintained its refusal to release the containers. The demand identified eight shipments Priva was improperly holding covering twelve containers. (CX 168.)
50. At the time, Priva was refusing to release several other shipments, but did ultimately release those shipments. (CX 347, Dutta Dep. 105:19-106:10; CX 169; CX 528, Hudson Declaration ¶¶ 22-23.)
51. On June 10, 2025, AIM notified CMA that the freight charges were paid in full, but Priva was refusing to release the sea waybills. It also notified CMA that because the vessel's ETA was June 14, 2025, further delay would result in charges at destination including detention and demurrage charges. (CX 175.)
52. Less than thirty minutes later, Priva responded by instructing CMA not to release the containers due to the commercial dispute related to the Malaysia Shipments. (CX 174.)
53. Apparently, Priva had previously notified CMA not to release the containers or communicate with CMA. CMA responded that AIM had sought assistance from CMA but "[AIM] will be informed that as [it] is not a party to the BL, all communication will need to be through PRIVA LOGISTICS." (CX 172, June 9, 2025, email chain.)
54. Priva's owner, Priyanka Dutta, thanked CMA and reiterated that the Italy Shipment will "remain on hold because we have to collect payment from them." (CX 172.)

55. Ms. Dutta continued to refuse to release the containers in subsequent communications demanded that CMA not act on any emails from Priva unless they come from her personally. (CX 208, June 17th email, **“Yes, please continue to hold the release of the containers.”** (emphasis in the original); CX 208, June 20th email, **“Please do not act on any emails from any member of the Priva Logistics Team regarding this shipment.** The hold may only be lifted by written instruction **from me personally, on this same email chain.”** (emphasis in the original); see generally, CX 204-216.)

56. On June 19, 2025, counsel for AIM again requested that Priva release the containers notifying Priva that AIM was willing to transfer the \$70,000 under protest in exchange for Priva releasing the containers. Otherwise, AIM would have no other recourse but to pursue its claims through the Federal Maritime Commission. (CX 198.)

57. Rather than release the containers, Priva notified AIM of “Effective Measures Commencing June 30.” These measures included applying the following terms to the shipments starting on June 30, 2025:

- a. “\$35 per container per day will be billed as an administrative charge.”
- b. “1.5 percent monthly interest (18 percent APR) will be applied to all unpaid balances”
- c. “Containers that remain on hold due to AIM's continued inaction as well as 20 previously abandoned units, will continue to accrue demurrage, detention and associated charges from the carriers. Priva will forward itemized billing to AIM upon receipt, along with applicable administrative costs.”

(CX 200.)

58. Priva's demands for a \$250,000 deposit, \$35.00 per day per container "administrative charge," 1.5% interest and \$30,000 in administrative charges were not based on any fee agreement, fee schedule or tariff. Instead, they were charges Priva asserted for the first time during the time period of March-June of 2025 based on what Priva unilaterally and arbitrarily determined to be reasonable. (CX 528, Hudson Declaration, ¶ 27-28; CX 347, Dutta Dep. 164:23-167:16.)

59. Regarding its administrative charges of \$30,000, Priva's owner determined those amounts by looking at the emails exchanges between the parties and estimating the amount she believed Priva should be paid (as opposed to basing the charges on employee rates and hours):

Q. . . . The question is, is there a breakdown of the hours spent and the rate for each employee that was charged to come up with this \$30,000?

A. No. These are collective hours that we all have to spend in order to deal with the fallout from AIM's misdeclaration, and their failure to clear the cargo.

Q. And this was something you based off of, you looked at like the number of emails that went out, and then just did a rough estimate?

A. I just said that. It's internal hours, looking up for the status every single day, which we're still doing on the containers. You know, having the accounting books open, finding the data, digging through the data, responding to AIM, responding to CMA. It's just, you know, taking calls with AIM logistics team, you know, multiple times. I mean all those -- that's all time, something we didn't have to deal with.

Q. Right. And you didn't track that amount --

A. We did not, because we didn't know --

(CX 347, Dutta Dep. 99:4-25.)

60. In fact, Priva administrative charges now included time spent in participating in this proceeding:

Q. Okay, that's -- so basically what you're saying is that extra [\$]52,000 was calculated from when you issued that invoice until September 11th. And you're saying that amount is still increasing as of September 11th?

A. Yeah. And I think I informed you about that in one of my emails, that, you know, this is taking significant time, your client is not paying up. And I'm going to give you \$35 per container. I think I informed you. You and I had a chat before I traveled.

Q. There's an email communication that I'll bring up in a second. But I guess that the question is, so like you sitting here today and preparing for your deposition, that's like time and effort that would be calculated into this cost, correct?

...

A. 110 percent. The costs have been accounted for.

...

Q. And that's in relation to the time and effort spent on this lawsuit, correct?

A. 110 percent.

(CX 347, Dutta Dep., 155:12-156:5; 169:11-13.)

61. On or around July 22, 2025, after AIM initiated litigation, Priva release the Italy and India Shipments upon advice of its counsel. (CX 347, Dutta Dep. 146:19-147:19.)

62. Unsurprisingly, the Italy Shipment, which arrived on or around June 14, 2025, had accrued demurrage and detention charges, which needed to be paid before the containers could be retrieved. (CX 201-203; CX 204.)

63. CMA and Fritelli Maritime Group, which appears to be an Italian marine terminal operator, assessed demurrage and detention charges totaling € 18,902.00. (CX 201-CX 203.)

64. AIM provided its customer with a credit note to offset the charges resulting in a cost to AIM in the amount of \$22,104.00 USD. (CX 240; CX 252-253; CX 528 Hudson Declaration, ¶ 24-26.)

65. Priva's policy and practice with respect to credit customers, is to hold their bills of lading from release if any amount is past due regardless of which shipment has or has not been paid ("And anytime there is outstanding past 30 days, the releases will be held, regardless of whether which BL is paid for, or which BL is not paid for."). (CX 347, Dutta Dep. 106:13-107:18.)

66. According to Priva, it has engaged in this practice for over four years. (CX 347, Dutta Dep. 45:13-24, 46:3-22, 104:14-105:1, 108:24-109:22.)

ARGUMENT

I. Priva Violated § 41102(c) of the Shipping Act by Intentionally Holding AIM's Cargo Hostage To Extort Payment on Unrelated Shipments.

The Shipping Act provides that an NVOCC "may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). In violation of § 41102(c)², Priva intentionally and unlawfully held unrelated shipments in order to extort payment from AIM for the Malaysia Shipments. It is well settled that an NVOCC cannot hold cargo for the purposes of seeking payment for unrelated shipments, as "a maritime lien 'only secures payment for the shipment of the cargo subject to that lien.'" *Petra Pet, Inc. v. Panda Logistics Ltd., et al.*, 2013 WL 9808694, at *3 (affirming ALJ's initial decision and reliance on *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, 2003 WL 136313 (2003) for same); *see also Bernard & Weldcraft*, 2003 WL 136313, n. 14 ("[D]isputes over earlier unrelated shipments cannot be used by either a

² Previously section 10(d)(1) of the Shipping Act.

carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.”). Indeed, Priva was clear it was not even attempting to assert a maritime lien and was instead instituting a “commercial hold.” (CX 347, Dutta Dep. 105:16-18.)

In intentionally refusing to release the Italy and India Shipments due to disputes with the Malaysia Shipments, Priva sought to exert commercial leverage over AIM to pay exorbitant sums. The only charge that CMA actually issued is the misdeclaration charge that remains under dispute. The rest of Priva’s hostage cargo demands were invented after the fact based on what it arbitrarily determined to be reasonable.

Per the interpretive regulations on unjust and unreasonable practices, a section 41102(c) claim requires the following elements:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Here, each one of these elements is established. First, there is no dispute between the parties that Priva is a NVOCC operating under license number FMC License Number 025540. (See Stipulated Fact No. 2.) (Dkt. No. 8, Answer and Countercl. ¶ 2). Thus § 545.4(a) is satisfied.³ Likewise, Priva’s monthslong refusal to release the India and Italy Shipments, along with its

³ Considering there is no dispute between the parties that Priva operated as an NVOCC at all relevant times, AIM will not address § 545.4(a) any further.

regular practice of holding containers for payment of unrelated shipments, satisfies § 545.4(b). With respect to § 545.4(c), Priva's conduct is directly related to the handling and delivery of property. Finally, the evidence clearly establishes that Priva's unjust and unreasonable practices proximately caused the loss at issue as the Italy Shipment incurred demurrage and detention charges as result of Priva's refusal to release them.

a. Priva's conduct occurred on a normal, customary, and continuous basis and thus satisfies § 545.4(b).

Priva will likely claim that its conduct is not a violation of § 41102(c) because it related to a discrete shipment, the Italy Shipment. This is inaccurate. Priva held several other shipments, including the India Shipment; but all of these shipments were released before any detention or demurrage charges accrued or any damages attached. (CX 168-169; CX 347, Dutta Dep. 105:19-106:10; CX 528, Hudson Declaration ¶ 6, 22-23.) Additionally, as Priva's owner made clear, its practice with credit customers such as AIM was to hold all bills of lading account wide if there was a balance outstanding of more than thirty-days. Priva made the "commercial hold" without regard to which bill of lading was or was not paid. Based on Priva's testimony, this has been Priva's policy for several years. (CX 347, Dutta Dep. 106:13-107:18.) Indeed, Priva refused to release approximately twenty-five various containers spanning eight shipments, though only the Italy Shipment resulted in AIM incurring damages. (*Id.*; see also, CX 168-169.)

Priva's practice of refusing to release shipments for any amount that was thirty-days overdue regardless of shipment and its continuous refusal to release the Italy or India Shipments satisfies § 545.4(b). *CMI Distribution, Inc., v. Service By Air, Inc., et al.*, 1 FMC 2nd 313, 336 (May 24, 2019).

b. Priva's conduct and practice relates to or is connected with receiving, handling, storing, or delivering property in satisfaction of §545.4(c).

With respect to § 545.4(c), Priva's practice is directly related to and connected with the receiving handling, storage and delivering of property. The dispute at issue focuses on Priva's refusal to release the Italy and India Shipments, which involved Priva's handling of the transportation of cargo containers from the United States to foreign ports. (CX 347, Dutta Dep. 103:8-104:13; CX 202.) Accordingly, there can be no genuine dispute regarding this element.

c. Priva's conduct and practice is unjust or unreasonable in violation of the Shipping Act.

Priva's conduct is clearly unjust or unreasonable, and one of the more egregious examples of holding freight hostage to extort additional payments. Both AIM *and* Priva challenged CMA's assessment of a misdeclaration charge related to one of the Malaysian Shipments. That charge remains disputed with neither AIM nor Priva having made payment to CMA. And despite both Priva and CMA's claim that the Malaysia Shipments are abandoned, as recently as February of 2026, the consignee made clear they are not and are still working to have them cleared. Against this backdrop, Priva elected to accept the Italy and India shipments from AIM and then—when AIM requested their release—refuse to release them and issue continually escalated demands for payment. This is a textbook example of an unjust and unreasonable practice.

As the Commission stated in *Petra Pet*:

The Commission has recognized in numerous decisions that NVOCCs violate section 10(d)(1) when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore fail to observe and enforce just and reasonable practices. *See Yakov Kobel, et al. v. Hapag-Lloyd A.G., et al.*, ___ S.R.R. ___, ___, (FMC 2013); *Bimsha International v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc.*, ___ S.R.R. ___, ___, (FMC 2013); *Smart*

Garments v. Worldlink Logix Services, Inc., ___ S.R.R. ___, ___, (FMC 2013); *Brewer*, 29 S.R.R. at 9 (FMC 2001) (withholding documentation needed to secure the release of property held to violate section 10(d)(1)); *Houben*, 31 S.R.R. at 1405 (FMC 2010) (NVOCC failed to make payments “necessary to secure release of cargo” and failed to resolve a commercial dispute); *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871, 873 (ALJ 1993) (NVOCC failed to carry out obligation it was paid to perform, thus failing to “establish, observe, and enforce just and reasonable regulations and practices relating to the receiving, etc. of property”); *Adair*, 26 S.R.R. at 19-20 (ALJ 1991) (NVOCC reneged on agreement and refused to refund freight even though it “never performed the transportation service”); *Corpco International Inc., v. Straightway, Inc.*, 28 S.R.R. 296, 300 (FMC 1998) (forcing the shipper to pay transshipment costs for the release of cargo after the shipper had already paid a rate previously agreed to was an “unreasonable practice”); and *Total Fitness*, 28 S.R.R. 534, 542 (FMC 1998), *aff’d sub nom., Worldlink Logistics, Inc. v. Federal Maritime Comm’n*, 203 F.3d 54 (D.C. Cir. 1999) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of the Act).

Petra Pet, 2013 WL 9808694, at *5.

In the present case, Priva held the containers due to the parties’ dispute related to the Malaysia Shipments and CMA’s \$70,000.00 misdeclaration invoice. *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., LTD.*, Docket No. 08-04 (ALJ March 9, 2011) (“An NVOCC that holds cargo hostage to its demands for money allegedly owed for prior shipments violates section 10(d)(1).”) (citing *Bernard & Weldcraft Welding Equip. v. Supertrans Int ’l, Inc.*) It then continually increased its demands to AIM seeking to collect more than the disputed \$70,000.00 charge.

First, it sought a \$250,000 deposit. Next, it added on a \$30,000 administrative charge of \$3,000 per container related to the Malaysia Shipments without explanation. It then increased its

demand to include a \$35 per container per day administrative charges, 1.5% interest and attorneys' fees. None of these charges were ever disclosed to AIM in advance of any booking and none of them are based on a fee schedule or tariff rate. Instead, Priva simply made them up as it went along based on its own arbitrary determinations of what was reasonable. *See William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 2001 WL 122035, at *4 (FMC January 3, 2001) (finding a violation of section 10(d)(1) based on respondent's holding cargo hostage and assessing a higher, unpublished rate). Indeed, even after this proceeding was initiated, Priva continued to add on charges including time its owner spent sitting for a deposition.

Given Priva's refusal to release cargo based on unrelated shipments and its ever-escalating demands, Priva engaged in an unjust and unreasonable practice in violation of the Shipping Act.

d. Priva's refusal to release the Italy Shipment until its received payment for the Malaysia Shipments proximately caused AIM to incur demurrage and detention charges, which AIM paid.

With respect to the Italy shipment, Priva's refusal to timely release the Sea Waybills caused demurrage of €18,902 between June 28, 2025 and July 22, 2025, which AIM contends equals approximately \$22,104.00 USD. In order for the containers to be fully released, the charges had to be paid, which ultimately was a cost AIM incurred. (CX 240; CX 252-253; CX 528, Hudson Declaration, ¶ 24-26.) Accordingly, Priva's refusal to release the Italy Shipment was the proximate cause of AIM's damages, and AIM is entitled to reparations pursuant to 46 U.S.C. § 41305(b).

Based on the foregoing, AIM established Priva's violation of 46 U.S.C. § 41102(c) and is entitled to damages Priva's conduct caused and any additional relief the Commission finds appropriate. This includes reparations for the injuries Priva actually caused, including compound

interest, pursuant to 46 U.S.C. § 41305(a)-(b). Because Priva's violation of §41102(c) was the cause of AIM's injury and given Priva's egregious, intentional conduct, the Commission should order additional amounts as it deems appropriate pursuant to 46 U.S.C. § 41305(c).

II. The Commission Should Also Order That Priva Cease and Desist Its Practice of Holding Cargo for Unrelated Charges and Assessing Unsupported Charges.

Separate and apart from reparations, a cease-and-desist order is necessary and appropriate given Priva's continuing conduct. Generally, a cease-and-desist order is available where there is a violation of the Shipping Act that is ongoing:

[T]he remedy of a cease and desist order is available to a complainant who is able to prove a violation of the Act and show that unlawful conduct is ongoing or likely to resume. If [a complainant] is able to prove a violation of the Act and show that unlawful conduct is ongoing or likely to resume, relief in the form of a cease and desist order could be available.

CMI Distribution, Inc., 1 FMC 2nd at 330-331 (quoting *Maier Terminals, LLC v. Port Authority of New York and New Jersey*, FMC No. 08-03, Order at 16-17 (FMC Jan. 31, 2013); *Intermodal Motor Carriers Conference, American Trucking Ass'n, Inc., v. Ocema, et al.*, 2024 WL 641501, at *43 ("A cease-and-desist order is justified if the Commission finds a Shipping Act violation and has determined that the unlawful conduct is likely to continue or resume unless Respondents are ordered to stop.")).

As its owner testified, Priva practice is to hold all shipments for any customers if they have any payments that are thirty-days past due. It also continues to maintain its demands for charges that are not contained in any fee schedule, tariff or contract. The alleged damages Priva continues to demand include "administrative costs" such as time spent sitting for a deposition in this matter and its \$35 per day containers fees that it invented in June of 2025. A cease-and-desist order is appropriate in these circumstances.

CONCLUSION

AIM respectfully requests that the Commission find that Priva violated the Shipping Act by engaging in an unjust and unreasonable practice of withholding release of AIM's unrelated Italy and India shipments to extract payment for disputes arising from the Malaysia shipments and for maintaining a policy of holding cargo for unrelated payments. Priva refused to release the Italy and India Shipments despite AIM having made all necessary payments for those shipments. By its own admission, Priva did so solely to compel AIM to "pay up" amounts tied to CMA's disputed \$70,000 misdeclaration invoice and Priva's own escalating, unsupported demands related to the Malaysia Shipments.

Priva's owner directed CMA to continue holding the Italy Shipment and asserted that only she could lift the hold, while Priva maintained an account-wide "commercial hold" policy of withholding releases if any balance was outstanding more than thirty days, regardless of whether the shipments were related. As a direct result of Priva's refusal to release the Italy Shipment, AIM incurred demurrage and detention totaling \$22,104.00.

Accordingly, AIM respectfully requests that the Commission:

- a) Award reparations to AIM for all losses proximately caused by Priva's violations, including but not limited to the Italy Shipment demurrage and detention and compound interest as authorized pursuant to 46 U.S.C. § 41305(a)-(b);
- b) Issue a cease-and-desist order directing Priva to refrain from withholding release of cargo or documentation for unrelated shipments and from assessing

undisclosed, unsupported charges not contained in a tariff, schedule, or agreement;

c) Awarding additional amount pursuant to 46 U.S.C. § 41305(c) for up to twice the amount of AIM's actual injury;

d) Awarding attorneys' fees and to be assessed based upon a post decision petition, which AIM will submit pursuant to 46 U.S.C. § 41305(e) and 46 C.F.R. §502.254; and

e) Grant such other and further relief as the Commission deems just and appropriate.

Respectfully submitted,

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Date: April 28, 2026

CERTIFICATE OF SERVICE

I certify that, on April 28, 2026, a true and correct copy of American Iron & Metal Company, Inc.'s Brief and Supporting Appendix were served on the following counsel via email:

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